How to Invest - Beginner Evidence Guide

A safe sequence for goals, risk, products, diversification, fees, custody and annual review.

MATRIX REPROGRAMMED - DETAILED WEALTH GUIDE

Reader outcome: Create a one-page investment policy and a verified first-investment checklist.

Best for: A first-time investor who needs to understand process before choosing a fund, share, bond, property or platform.

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Educational information only. No personalised financial, investment, legal or tax advice. No guaranteed outcomes.

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1. Investing comes after financial stability

Investing is ownership or lending for future return; it is not a substitute for emergency cash.

Protect essential bills, near-term obligations and expensive debt before accepting market risk.

Do not invest money required on a fixed short date into volatile assets.

Define whether the goal is retirement, home purchase, education, income, capital preservation or another objective.

2. Risk capacity, tolerance and requirement

Capacity is the financial ability to absorb loss without damaging essential plans.

Tolerance is the emotional ability to remain disciplined during decline.

Requirement is the return needed to reach the goal. An unrealistic required return means the goal, contribution or deadline must change.

Use the lowest risk capable of meeting a realistic plan.

3. Understand the asset classes

Cash and short-term instruments prioritise access and stability but face inflation and

institution risk.
Bonds are loans exposed to issuer credit, interest rates, inflation and duration.
Shares are ownership claims exposed to business, valuation and market risk.
Property combines use, rent, leverage, maintenance, tax and illiquidity.
Funds pool assets; the label does not remove underlying risk, fees or concentration.
Alternative and private assets may be illiquid, opaque, highly leveraged or difficult to value.

4. Diversification

Diversification reduces dependence on one issuer, sector, country, currency, customer or outcome.
Owning many securities does not guarantee diversification when they share the same economic driver.
Diversify at the portfolio level, including employment, business and property exposure.
Concentration may create wealth but also creates ruin risk; beginners should not copy billionaire concentration blindly.

5. Funds, ETFs and index exposure

Read the objective, index, holdings, domicile, replication method, currency exposure, distribution policy and lending policy.

Compare ongoing charge, trading spread, platform fee, custody fee and tax treatment.

A popular index can be concentrated in a small number of companies.

Past performance and star ratings do not establish future suitability.

6. Shares and company research

Understand how the company earns cash, its balance sheet, competitive position and capital needs.

Read annual reports and regulator filings rather than relying on influencer summaries.

Separate company quality from purchase valuation.

Use a position size that accepts the possibility of permanent loss.

7. Broker, platform and custody checks

Verify the legal company name and authorisation in official registers, not only the brand name.

Confirm who legally holds the assets, how client money is separated and what compensation scheme applies.

Check withdrawal process, transfer-out fee, account closure, data security and treatment if the platform fails.

Independently confirm website domain, phone number and bank details because authorised firms can be impersonated.

8. Fees and tax drag

Record product charge, platform fee, advice fee, trading spread, transaction charge, FX cost and performance fee.

A small annual percentage compounds into a large difference over long periods.

Tax wrappers can improve outcomes but should not justify an unsuitable investment.

Compare total after-fee, after-tax outcome under reasonable scenarios.

9. Contributions and portfolio construction

Choose a strategic allocation tied to goal and risk capacity.

Use automatic contributions when appropriate; avoid treating frequent trading as research.

Set maximum concentration limits and rules for new money.

Document why each holding exists and what role it serves.

10. Behaviour and market decline

Expect volatility before investing. Write the response to a 10%, 20% and 40% decline.

Do not increase risk because of recent gains or abandon a sound policy because of recent losses.
Limit news and price checking to a schedule aligned with the decision horizon.
Fraud, leverage and panic become more dangerous when the investor has no written plan.

11. One-page investment policy

[ ] Goal and target date.

[ ] Emergency cash requirement.

[ ] Contribution amount and frequency.

[ ] Strategic asset allocation.

[ ] Maximum single holding and sector exposure.

[ ] Allowed products and prohibited products.

[ ] Maximum total annual cost.

[ ] Rebalancing rule.

[ ] Review frequency.

[ ] Conditions requiring regulated advice.

12. How to use this guide

Purpose: Create a one-page investment policy and a verified first-investment checklist.

Best reader: A first-time investor who needs to understand process before choosing a fund, share, bond, property or platform.

Read the guide once without taking action. On the second pass, complete the checklists and write down the evidence supporting each decision.

Replace every example number with your own verified amount, date, fee, tax treatment, contract term or source document.

Do not treat a checklist tick as proof. Keep copies of the underlying statements, quotations, filings, contracts and calculations.

For major decisions, use this guide to prepare better questions for a regulated adviser, accountant, lawyer, lender or insurer.

13. Evidence standard

Tier 1: law, regulator, tax authority, court, audited accounts, official product document or signed contract.

Tier 2: recognised institutional research that states its methodology, date and limitations.

Tier 3: reputable reporting used to identify questions, not to replace primary evidence.

Tier 4: marketing, social posts, testimonials, screenshots and anonymous claims. Treat these as unverified leads.

Write the source date beside every changing figure. A correct figure without a date can become misleading.

Separate facts, estimates, assumptions and scenarios. Never allow a scenario to be presented as a forecast or guarantee.
A company, fund, adviser, trust, structure, transaction or association is not proof of misconduct.

14. Decision record worksheet

[ ] State the decision in one sentence.

[ ] State the desired result and deadline.

[ ] List the three strongest pieces of supporting evidence.

[ ] List the three strongest reasons the decision may fail.

[ ] Record the maximum acceptable loss of money, time and flexibility.

[ ] Record the smallest reversible test.

[ ] Name the person responsible for checking legal, tax or regulatory consequences.

[ ] Set the next review date and the evidence that would cause you to stop.

15. Professional advice triggers

Seek regulated investment advice when product suitability, risk capacity, pensions, insurance or a large portfolio decision is unclear.
Seek tax advice before changing residence, extracting company cash, transferring

assets, using trusts, gifting substantial sums or entering cross-border arrangements.
Seek legal advice before signing guarantees, shareholder agreements, acquisition contracts, complex leases, loan security or beneficiary arrangements.
Seek accounting advice when turnover, VAT, payroll, inventory, multiple activities or company-group transactions become material.
Use a defined written question. Paying for broad reassurance without documents or calculations rarely produces a useful answer.

16. Subject focus map

Use the following subject anchors as named checkpoints. For each checkpoint, record the fact, source, date, assumption, decision and next review date.
INVESTMENT POLICY: define what this checkpoint means for this guide, what evidence supports it, and what result would cause you to change course.
CUSTODY: define what this checkpoint means for this guide, what evidence supports it, and what result would cause you to change course.
DIVERSIFICATION: define what this checkpoint means for this guide, what evidence supports it, and what result would cause you to change course.
FEE DRAG: define what this checkpoint means for this guide, what evidence supports it, and what result would cause you to change course.
Do not mark a checkpoint complete because an action was taken. Mark it complete only when the result and supporting evidence have been recorded.
Where a checkpoint depends on another person, institution, platform or contract,

record that dependency and a fallback route.
Rank checkpoints by potential harm if ignored, not by how interesting or easy they appear.
At the end of each review, choose one checkpoint to advance and one risk to reduce before adding a new objective.

17. Worked decision case

Write a real decision from your own situation at the top of a blank page. Examples include changing work, launching an offer, choosing an account, buying an asset, restructuring a business or rejecting a proposal.
Baseline: state the current cash, income, liabilities, commitments, ownership, legal position and time available. Use documents rather than memory where possible.
Desired result: describe the measurable outcome, deadline and reason. Remove vague language such as more, better, passive, safe or guaranteed.
Options: include the proposed action, a smaller reversible test, a diversified alternative, delaying the action and doing nothing.
Evidence: attach at least three independent sources. Identify which evidence is official, contractual, audited, estimated, promotional or missing.
Economics: show setup cost, recurring cost, cash timing, fees, tax reserve, downside loss, opportunity cost and the point at which the decision becomes worthwhile.
Risk: identify concentration, liquidity, legal, operational, fraud, health, relationship and behavioural risks. Name the risk that could create irreversible harm.

Professional review: write the exact question that requires an accountant, lawyer, regulated adviser, lender, insurer or technical specialist.
Decision: state proceed, test, delay or reject. Record the maximum commitment and the evidence required before any further commitment.
Review: set a dated checkpoint. Write the result that would confirm the decision, the result that would require adjustment and the result that would trigger an immediate stop.

18. 90-day implementation workbook

Week 1 - Establish the baseline. Reconcile the relevant accounts, contracts, statements, fees, tax records, responsibilities and deadlines.
Week 2 - Define the result. Choose one measurable outcome and remove actions that do not directly support it or protect an essential risk.
Week 3 - Gather primary evidence. Use official registers, filings, signed terms, current quotations and dated institutional data.
Week 4 - Compare alternatives. Include a lower-cost option, a lower-risk option, a reversible test and the option to wait.
Week 5 - Model the economics. Build downside, base and upside cases while treating every uncertain input as an assumption.
Week 6 - Verify identity and authority. Confirm who owns, controls, advises, holds money, signs contracts and bears liability.
Week 7 - Run the smallest useful test. Limit money, time and legal commitment while

collecting evidence about real demand or performance.

Week 8 - Reconcile actual results. Compare promised, expected and actual cost, time, cash flow, quality, risk and customer or counterparty behaviour.

Week 9 - Repair the constraint. Improve the single factor currently limiting income, retention, safety, liquidity, delivery or evidence quality.

Week 10 - Install controls. Add calendar reminders, approval limits, account separation, written procedures, backups and review ownership.

Week 11 - Decide whether to scale. Increase commitment only when the test produced measurable value and the downside remains affordable.

Week 12 - Complete the evidence file. Store the decision record, sources, calculations, contracts, results, lessons and next review date.

Day 90 - Write a one-page conclusion: what was established, what remains uncertain, what changed, what will continue and what will stop.

19. Review, escalation and stop rules

Review monthly when the decision affects recurring cash, debt, customer commitments, investment contributions or essential protection.

Review immediately after a material legal change, tax notice, contract change, security incident, missed payment, large loss, health event or relationship change.

Escalate to a qualified professional when the facts cross jurisdictions, involve regulated products, create personal guarantees, affect beneficiaries or cannot be reversed cheaply.

Pause when required documents are missing, identities cannot be independently verified, costs are unclear or the counterparty resists reasonable due diligence.
Stop when the action requires deception, undeclared income, false invoices, hidden beneficial ownership, unaffordable leverage or essential-living money.
Stop when actual cash use, delivery time or loss exceeds the written limit.
Stop when the central evidence is corrected, withdrawn, contradicted by a stronger source or no longer current.
Do not move a stop limit merely because money, pride or time has already been committed. Sunk cost is not evidence that continuing is rational.
Record every exception to the plan, who approved it and why. Repeated exceptions indicate the plan or control is not working.
A stopped action can still be a successful decision when it prevents a larger loss and preserves the ability to act later.

20. Evidence and legal boundary

This is educational information, not personalised financial, investment, legal, accounting or tax advice.
Investments can fall in value. Businesses can fail. Debt, leverage, illiquidity, tax and legal obligations can create losses greater than the expected benefit.
Rules and thresholds change. Verify the current official position on the date of action.
Never use false invoices, hidden ownership, undeclared income, sham transactions,

misleading applications or borrowed essential-living money.

No return, saving, valuation, tax outcome or business result is guaranteed.

21. Official research routes

1. AMF - Verify an authorisation - https://www.amf-france.org/fr/espace-epargnants/proteger-son-epargne/faire-les-verifications
2. AMF - Blacklists and warnings - https://www.amf-france.org/fr/espace-epargnants/proteger-son-epargne/listes-noires-et-mises-en-garde
3. REGAFI - Regulated financial firms register - https://www.regafi.fr/
4. ESMA investor information - https://www.esma.europa.eu/investor-corner
5. impots.gouv.fr - Assurance-vie and PEA - https://www.impots.gouv.fr/particulier/lassurance-vie-et-le-pea-0
6. Banque de France - https://www.banque-france.fr/